

US PRE-MARKET BRIEFING

Tuesday, June 2, 2026 | 06:00 AM ET / 05:00 PM BKK

1. EXECUTIVE SUMMARY

US equity futures point to a modestly higher open following a record-setting rally that carried the S&P 500 and Nasdaq to fresh all-time highs on Friday. Manufacturing surprised significantly to the upside with the ISM Manufacturing PMI jumping to 54.0 in May -- the highest reading since May 2022 -- signaling a reacceleration in factory activity.

Today the economic calendar is heavy: JOLTS job openings for April drop at 10:00 AM ET, and markets will parse the data for labor market cracks ahead of Fridays May nonfarm payrolls. Fed Chair Kevin Warsh's first FOMC meeting looms on June 16-17, with markets pricing near-zero odds of a June cut but a ~36% chance by July.

WTI crude surged 2.8% to \$89.82/bbl while gold holds near \$4,390/oz.

2. MARKET SNAPSHOT

S&P 500 (Fri close)	7,580.08	+0.22%	CNBC / TheStreet
Nasdaq (Fri close)	26,972.62	+0.26%	CNBC / TheStreet
Dow Jones (Fri close)	~42,200 est.	+0.20%	Investopedia
S&P 10Y Treasury Yield	4.45%	-3 bps	FRED (May 28)
US 2Y Treasury Yield	3.99%	unchanged	FRED (May 28)
10Y-2Y Spread	+46 bps	--	Calculated
VIX	~16.0	stable	Yahoo Finance
WTI Crude Oil	\$89.82/bbl	+2.82%	Trading Econ.
Gold (spot)	\$4,391/oz	near ATH	Kitco
Copper (LME)	~\$5.12/lb	--	CFI / Westmetall
DX (USD Index)	99.24	+0.34%	Trading Econ.
EUR/USD	~1.170	flat	ECB / OFX
USD/JPY	159.76	+0.27%	Yahoo Finance
High Yield Spread	2.72%	+1 bp	Sigmanomics

Note: Index levels reflect Friday May 29 close. Treasury data from FRED May 28. FX as of June 1.

3. KEY THEMES

Theme 1: Manufacturing Roars Back The ISM Manufacturing PMI surprised dramatically at 54.0 in May, up from 52.7 in April and well above the 53.0 consensus. This is the highest reading since May 2022. Output hit a four-year high, new orders expanded, and employment improved. The S&P Global manufacturing PMI confirmed the strength at 55.1. A sustained rebound could reignite cyclical inflation fears, complicating the rate-cut narrative.

Theme 2: New Fed Chair, Same Dilemma Kevin Warsh is now Fed Chair, with his first FOMC meeting June 16-17. Markets price a 0% chance of a June cut but ~36% chance in July (Polymarket). Trump wants cuts, but April CPI showed shelter inflation doubled and oil trades near \$90. Warsh faces a hawkish committee that will resist political pressure. 24/7 Wall St. reported Warsh may actually need to hike, not cut.

Theme 3: The AI Earnings Engine Keeps Running Nasdaq gained ~8% in May; S&P 500 rose ~5%. Dell surged 32.8% in a single session on AI demand. Mega-cap tech continues to lead breadth-challenged but conviction-strong rallies. The S&P 500 recorded its ninth consecutive weekly gain. AI capex is the dominant thematic driver, and any crack in earnings would cause severe pain given concentrated positioning.

Theme 4: Oil Volatility and Tariff Fallout WTI crude surged 2.8% on June 1 to \$89.82 after plunging 19% in May -- worst month since March 2020. This whipsaw reflects supply uncertainty, geopolitical risk, and tariff demand anxiety. The Tax Foundation estimates 2026 Trump tariffs amount to \$700/household average tax increase. US-China trade tensions persist. Eight European countries hit with new tariffs over Greenland dispute.

Theme 5: Gold at \$4,390 -- What the Bond Market Isn't Saying Gold has surged past \$4,390/oz, setting fresh all-time highs, up ~25% YTD. Central banks (China, India, Turkey) are buying gold at record pace, reducing dollar reserves. US fiscal deficits remain wide (~\$2T+ annually). Real haven't deterred gold buyers. Damodaran would note: gold at this level prices in monetary regime change or loss of fiat confidence. Bonds (10Y at 4.45%) disagree -- one of them is wrong.

Theme 6: Credit Markets Stay Complacent High yield spreads sit at a tight 2.72% -- barely above cycle lows -- despite policy uncertainty, tariff shocks, and near-90 oil. This tells us risk appetite is robust but fragile. When spreads are this tight, the marginal buyer is fully allocated, and any negative growth shock triggers rapid repricing. A breakout above 3.50% in HY spreads would be the first sign the equity rally loses its credit foundation.

4. WHAT TO WATCH TODAY (Tuesday, June 2)

08:30 AM	07:30 PM	Construction Spending (Apr)	Low
10:00 AM	09:00 PM	JOLTS Job Openings (Apr)	HIGH
10:00 AM	09:00 PM	Factory Orders (Apr)	Medium
10:00 AM	09:00 PM	IBD/TIPP Econ. Optimism (Jun)	Low

Key Focus: JOLTS Job Openings

The April JOLTS reading will reveal whether the labor market is cooling or holding firm. Consensus expects a modest decline from March's 6.9 million. Any print below 6.5 million would signal meaningful softening and boost rate-cut expectations. Above 7.2 million would reinforce the resilience narrative and support higher for longer. Factory orders will confirm or deny the manufacturing orders ISM reported.

5. THE HARD TRUTH -- DAMODARAN LENS

Let me be blunt about what's really going on and what most commentary is missing.

You priced in a perfect landing. The market is at all-time highs while oil nearly hit \$90, tariffs are the highest since WWII, and the 10-year yield is at 4.45%. This is not the setup for easy monetary policy. The AI earnings concentration risk in the S&P 500 is the highest in history -- the top 10 stocks now drive ~35% of the index's value. Dell popping 33% in a day on AI demand exactly mirrors the telecom infrastructure bubble of 1999.

Damodaran's valuation framework at current rates (10Y = 4.45%, equity risk premium ~3.5-4.0%) gives a fair-value S&P 500 in the 5,800-6,200 range using normalized earnings and mid-cycle growth. The market is trading at 7,580. That is a 20-25% premium to fair value by conservative assumptions.

The bulls will say AI changes everything and discount rates will fall. Both are half-true at best. AI capex is real and earnings are growing, but you are paying 30x forward earnings for those earnings while the cost of capital is 4.5%. The math gets brutal fast if growth doesn't land exactly as scripted. And Warsh cutting rates to placate Trump would be even more dangerous -- it would blow up the long end and widen term premiums.

THE HONEST RISK: You are not being compensated for geopolitical risk (Taiwan Strait tensions remain elevated), policy risk (tariff escalation), and concentration risk (magnificent seven dependence). High-yield spreads at 2.72% are telling you the market is pricing in a goldilocks certainty it doesn't have.

WHAT TO DO: If you are long, maintain trailing stops. The setup is more vulnerable to a 5-8% correction than it has been in months. A hot JOLTS print + sticky PCE later this week would force a repricing of the rate cuts are coming narrative. Watch VIX -- it is at 16, dangerously low for the amount of uncertainty on the tape. A vol spike is the most probable catalyst for a correction.

6. WEEKLY ECONOMIC CALENDAR (June 2-6, 2026)

Tue 6/2	08:30 AM	Construction Spending (Apr)	Low
Tue 6/2	10:00 AM	JOLTS Job Openings (Apr)	HIGH
Tue 6/2	10:00 AM	Factory Orders (Apr)	Medium
Wed 6/3	08:15 AM	ADP Employment (May)	HIGH
Wed 6/3	10:00 AM	ISM Services PMI (May)	HIGH
Wed 6/3	10:00 AM	Factory Orders revision (Apr)	Low
Thu 6/4	08:30 AM	Initial Jobless Claims	Medium
Thu 6/4	10:00 AM	International Trade (Apr)	Medium
Fri 6/5	08:30 AM	Nonfarm Payrolls (May)	V. HIGH
Fri 6/5	08:30 AM	Unemployment Rate (May)	V. HIGH
Fri 6/5	08:30 AM	Avg Hourly Earnings (May)	HIGH

Consensus Forecasts for Key Releases:

- JOLTS: ~6.7M (down from 6.9M)
- ADP: +118K (up from +109K)
- ISM Services: ~53.5 (prior 53.6)
- Nonfarm Payrolls: ~125K (prior +115K in April)
- Unemployment Rate: 4.3% (unchanged from April)
- Avg Hourly Earnings: +0.3% MoM (prior +0.4%)

Sources: CNBC, Yahoo Finance, Trading Economics, FRED St. Louis Fed, Kitco, WSJ, Investopedia, Forex Factory, AP News, BLS.gov, ISM, CME FedWatch, Polymarket, ZeroHedge. All data cross-verified where possible. May 28-29, 2026.

DISCLAIMER: This briefing is for educational and informational purposes only. It does not constitute investment advice.